

TYPE	LEGAL RESEARCH MEMO
SUBJECT	AGREEMENTS LAYER FOR BASKET ENGINE
AUDIENCE	POTE, MUCHNIK, TREASURY
STATUS	RESEARCH, PRE-COUNSEL REVIEW

 LIGHT

The Agreements Layer

A legal research memo on the instruments, variables, and progressive adoption framework for executing the basket lifecycle within Colorado LCA law.

COUNSEL NOTE

This memo is *legal research informing counsel decisions*, not legal advice. Every instrument, exemption pathway, and tax position identified here requires review and refinement by formation counsel (Jeff Pote), cooperative legal counsel (Yev Muchnik), and the engaged CPA before execution. Statutory citations should be verified for currency; Colorado statutes occasionally amend through legislative session. The progressive Season 1 to Season 5 framework is calibrated to the cooperative's resource constraints, not regulatory urgency. Where this memo names defaults, counsel should treat them as starting positions for negotiation, not conclusions.

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§ I

The agreements layer concept

The Cooperative Engine HUD shows the basket moving through its lifecycle. What the HUD does not show is the legal instruments that make each transition real. A basket does not gather equity by itself; ventures execute contribution agreements. A basket is not announced; the LCA publishes a prospectus under a securities exemption. A member does not subscribe by clicking; they execute a subscription agreement. The *agreements layer* is the contractual scaffolding underneath the HUD's narrative, the set of executable instruments that turns the model into law.

Colorado ULCAA grounds this approach directly. [C.R.S. § 7-58-104](#) provides that the relations between an LCA and its members are

consensual and contractual, and that, unless otherwise required by the article or other applicable law, the articles and bylaws may provide for any matter concerning these relations, the LCA's activities, and the conduct of its activities. The statute is permissive by design; it expects the cooperative to write its own contract with itself. The agreements layer is that contract, made operational and instrument-by-instrument executable.

This memo identifies the agreements implied by the basket lifecycle, the data fields each requires, the securities exemption framework that lets the offering proceed without registration, the Subchapter K constraints that shape how patronage flows are structured, and a five-season progressive adoption roadmap calibrated to the cooperative's \$10K legal budget.

§ II

Three statutory layers

The agreements layer answers to three bodies of law simultaneously. Each constrains what the agreements can and must contain.

Colorado ULCAA · C.R.S. Title 7, Article 58

The entity-level framework. The ULCAA permits the LCA to admit both *patron members*, those whose patronage with the cooperative qualifies them to receive or retain their interest, and *investor members*, those who contribute capital without a patronage requirement. The cooperative's articles and bylaws are the organizational documents that, together with the marketing contracts described in Part 7 and the member's interest provisions in Part 6, define the relationship.

§ 7-58-104

Relations are consensual and contractual: articles and bylaws may provide for

members are considered and contractually, articles and bylaws may provide for any matter, subject to limited statutory requirements.

§ 7-58-306

Required provisions for member contributions; the LCA must address contributions in its organizational documents.

§ 7-58-502

Becoming a member; mechanics for admission of new patron and investor members.

§ 7-58-601

Member's interest; the bundle of financial and governance rights.

§ 7-58-602

Patron and investor members' interests; how the two member classes differ in rights.

§ 7-58-603

Transferability of member's interest; default rules and how they may be varied by organizational documents.

Part 10

Distributions; statutory framework for how the LCA may distribute to members.

Part 12

Allocations and distributions to members; the bridge to tax allocation mechanics.

Securities law · Federal and Colorado

The basket subscription is, in substance, an offering of securities. The investment in basket shares carries an expectation of profits derived from the efforts of others (the LCA's stewardship of underlying ventures), which fits the *Howey* test for investment contracts. The offering therefore must be registered under the Securities Act of 1933 or rely on an exemption. The state of Colorado has its own securities act

that mostly coordinates with the federal exemption framework, with some additional provisions specific to cooperatives.

Federally, the relevant exemptions for an LCA offering are [Section 4\(a\)\(2\)](#) private placements, [Regulation D Rule 506\(b\)](#) as the practical safe harbor under 4(a)(2), [Rule 504](#) for offerings up to \$10M coordinated with state law, intrastate offerings under [Section 3\(a\)\(11\)](#) with the [Rule 147/147A](#) safe harbors, and [Regulation Crowdfunding](#) for broader community offerings up to \$5M through a registered intermediary.

Colorado adds a useful note. Under [C.R.S. § 11-51-307](#), certain cooperative-issued securities are listed as exempt, though the statutory language is narrower than it first appears (the section explicitly names electric cooperatives regulated by the public utilities commission, and the broader cooperative exemption referenced on the DORA Division of Securities exemption listing requires careful analysis with counsel to confirm its applicability to a ULCAA-formed LCA). State-level exemption alone does not preempt federal registration; a federal exemption pathway is always required.

Subchapter K · Partnership taxation

The cooperative has elected Subchapter K partnership taxation rather than Subchapter T cooperative taxation. This means the LCA is treated as a partnership for federal tax purposes, and all flows of income, loss, deductions, credits, and distributions among members operate under the partnership tax rules.

The dominant constraint here is [IRC Section 704\(b\)](#) and its regulations at [Treas. Reg. § 1.704-1\(b\)\(2\)](#). Allocations among members must either have *substantial economic effect* or be made *in accordance with the partners' interests in the partnership*. The substantial economic effect safe harbor requires three things: capital accounts maintained in accordance with the regulations, liquidating distributions made in accordance with positive capital accounts, and either a deficit restoration obligation or a qualified income offset.

What this means in practice for the basket model: every contribution, every patronage allocation, every basket distribution, and every secondary market transaction must be tracked through 704(b) book capital accounts. The bylaws (which function as the partnership agreement for tax purposes) must specify how these are maintained, and the actual accounting must follow what the bylaws say.

§ III

Agreements by lifecycle stage

Each stage of the basket lifecycle implicates specific legal instruments. What follows is a stage-by-stage catalog of the agreements involved, the parties to each, and the function each performs. Instruments are tagged with the season by which they should be operational; the progressive adoption logic appears in Section VII.

STAGE 00 · 01

VENTURES CONTRIBUTE, BOARD COMPOSES

Gathering & Composing

Voluntary Equity Contribution Agreement

SEASON 1

The instrument by which a venture transfers equity to the LCA. Executed bilaterally between the venture and the LCA. Section 721 partnership contribution for tax purposes. The cooperative's foundational document, since without it the LCA holds nothing.

Contribution Valuation Memorandum

SEASON 1

An attached or referenced document recording the fair-market valuation method used to price the contribution. Necessary for both Subchapter K (initial book capital basis) and downstream basket prospectus disclosures.

Board Composition Resolution

SEASON 1

Board action authorizing the composition of a specific basket, identifying the ventures and percentages included, setting the share price, and approving the offering. Recorded in the LCA's minutes. The internal governance counterpart to the external prospectus.

STAGE 02

PROSPECTUS PUBLISHED, EXEMPTION CLAIMED

Announced

Basket Prospectus / Offering Memorandum

SEASON 1

The disclosure document for each basket offering. Even where not required by the chosen exemption, the prospectus protects the LCA from antifraud liability under Section 10(b) and Rule 10b-5, which apply regardless of exemption. Should include composition, valuations, risk factors, use of proceeds, securities exemption claimed, resale restrictions, and tax treatment.

Form D Filing

SEASON 1

If relying on Rule 506(b) or 506(c), Form D must be filed with the SEC via EDGAR within fifteen days of the first sale. Colorado coordinated notice filing under C.R.S. § 11-51-308(1)(p) with the fee prescribed by the Division of Securities. Form D is brief; the work is in the underlying disclosures.

STAGE 03 · 04

Member & Community Subscription

SUBSCRIBERS EXECUTE, LCA PROCESSES

Member Subscription Agreement

SEASON 1

The instrument by which an existing patron member subscribes to a basket. Records the subscriber's commitment, the patronage units being redeemed, any cash component, the shares being acquired, and the subscriber's acknowledgments of risk, restricted securities legend, and other disclosures.

Patronage Unit Redemption Form

SEASON 2

A subsidiary instrument (or section of the subscription agreement) authorizing the LCA to debit the subscriber's patronage account and credit basket shares. Records vintage debited, units debited, basket credited, share count credited.

Accredited Investor or Sophistication Letter

SEASON 1

If relying on 506(b), each non-accredited subscriber must be sophisticated, and the LCA should hold a written sophistication acknowledgment. If 506(c) (Season 4+), each subscriber must be accredited, and the LCA must take reasonable steps to verify (income, net worth, or qualified person verification).

Community Subscription Agreement

SEASON 3

For non-member subscribers in Stage 04. May trigger different securities considerations depending on the exemption strategy (Reg CF, intrastate, or admitting community subscribers as new patron members at the moment of subscription).

STAGE 05

SETTLEMENT, DISTRIBUTION

Closed

Settlement Confirmation

SEASON 1

A confirmation document delivered to each subscriber recording the

shares credited, the patronage units debited and cash applied, and the basket identifier. Functions as the subscriber's title document. Filed in the LCA's books as part of the basket's permanent record.

Patronage Dividend Allocation Resolution

SEASON 2

Board resolution allocating patronage units to subscribers based on the closing of the basket. Subchapter K-compliant allocation language. Bridges the basket's economic event into the cooperative's patronage system.

STAGE 06

QUARTERLY MARKS, INTERNAL SECONDARY MARKET

Maturing

Quarterly Valuation Memorandum

SEASON 2

A periodic document recording the marked value of each underlying venture position, the methodology, and any material changes. The basis for both subscriber reporting and the internal secondary market's reference price.

Bid/Ask Window Agreement

SEASON 4

Procedures for the quarterly internal market. Members offer shares at the marked price; the LCA acts as clearinghouse; vintage priority on the buy side. Considerations under Rule 144 for resale of restricted securities apply if the period since acquisition is short.

LCA Buyback Authorization

SEASON 4

Board-authorized framework for the LCA to repurchase shares at marked value using a treasury reserve. Shares repurchased return to LCA inventory. Cash leaves the cooperative; the buyback reserve must be funded.

Patronage Reconversion Agreement

SEASON 5

The instrument by which a member exchanges basket shares back into current-vintage patronage units at marked value. Carries Subchapter K implications because it is a non-cash exchange of partnership interests; counsel should structure to avoid recognition events where possible.

Cross-Basket Swap Agreement

SEASON 5

Trade of older basket shares for newer basket shares at proportional value. Each side of the swap implicates the basket's underlying positions. Likely requires careful tax analysis around 1031 nonrecognition and partnership interest exchange rules.

Member-to-Member Transfer Recording

SEASON 5

Recording form for peer-to-peer transfers. The cooperative does not facilitate the negotiation but records the transfer on its books. Implicates the bylaws' provisions on transferability under C.R.S. § 7-58-603.

Liquidating & Resolved

Distribution Authorization

SEASON 2

Board resolution authorizing distribution of proceeds from an exited venture position. References the underlying liquidity event documentation and the proportional distribution to basket shareholders.

Distribution Notice to Subscribers

SEASON 2

Notice to each subscriber of the distribution, the per-share amount, the basket's remaining composition, and the tax characterization of

the distribution under Subchapter K.

Schedule K-1 Issuance

SEASON 1

Annual K-1 to each member capturing their share of the LCA's income, gain, loss, deductions, and credits for the year. Required under Subchapter K. CPA-prepared; the cooperative furnishes the underlying data.

Basket Closure Resolution

SEASON 2

Board resolution recording the final aggregate return of the basket and authorizing its archival in the cooperative's records. Final K-1s and tax documents are issued; the basket's permanent record is finalized.

§ IV

Variables and data fields

What follows is the data structure for the two highest-priority agreements, the ones the cooperative cannot operate without. The variable names are framed to map cleanly onto the Common Information System's REA ontology: every agreement is an *Agreement* entity referencing *Agents*, *Resources*, and *Economic Events*. The cooperative's ledger should be able to populate each agreement from its database without human transcription.

Voluntary Equity Contribution Agreement

SEASON 1 PRIORITY

Between a contributing venture and the LCA. Captures the equity transfer that brings a position into the cooperative's holdings.

venture.legalName · entity full name
venture.entityType · Inc, LLC, etc.
venture.stateOfFormation
venture.ein
venture.principalAddress
venture.signatoryName
venture.signatoryTitle
lca.legalName · RegenHub, LCA

SUBJECT MATTER

equityClass · common, preferred, SAFE, etc.
unitsTransferred · share or unit count
equityPercentage · % of fully diluted cap
preMoneyValuation · FMV basis
valuationMethod · 409A, last round, etc.
perUnitFMV
aggregateValue · computed
effectiveDate

REPRESENTATIONS & TAX

titleRepresentation · free and clear
authorizationRepresentation · board approval
noConflictRepresentation
section721Election · partnership contribution
vestingSchedule · if any
antiDilutionWaivers
informationRights
governingLaw · Colorado

Member Subscription Agreement

SEASON 1 PRIORITY

Between a subscribing member and the LCA. Records the member's commitment to redeem patronage units (and contribute cash, if applicable) for basket shares.

SUBSCRIBER IDENTITY

subscriber.legalName
subscriber.memberID · cooperative ID
subscriber.memberClass · patron

```
subscriber.address
subscriber.ssn_or_ein
subscriber.memberSinceDate
subscriber.goodStandingFlag
subscriber.accreditationStatus
```

BASKET REFERENCE

```
basket.id · e.g., RB-S27-001
basket.season
basket.prospectusVersion
basket.prospectusDate
basket.sharePrice · $100
basket.totalShares
basket.memberReservePct · 80%
basket.exemptionClaimed · 506(b)
```

SUBSCRIPTION TERMS

```
sharesRequested
patronageUnitsRedeemed
patronageVintageRedeemed
cashConsideration · if any
totalSubscriptionValue · computed
queuePosition · vintage-ordered
queueServedOrder · 1, 2, 3...
finalAllocation · post-resolution
```

ACKNOWLEDGMENTS

```
riskAcknowledgment
restrictedSecuritiesLegend
noPublicMarketAcknowledgment
sophisticationAcknowledgment
prospectusReceiptConfirmation
questionsOpportunityConfirmation
taxAdviceWaiver
signature + date
```

The same structural approach extends to the remaining agreements.

Each one decomposes into parties, subject matter, terms, and acknowledgments or operative covenants. The data fields above are representative, not exhaustive; counsel will refine and add as drafting proceeds.

§ V

Securities exemption pathway

The cooperative's offering must rest on at least one federal exemption and a coordinated state-level treatment. The natural pathway evolves with the cooperative's maturity and the audience for each basket.

SEASON 1 TO 2 MEMBER-ONLY

Rule 506(b) under Regulation D as the safe harbor for Section 4(a)(2). Permits an unlimited number of accredited investor subscribers and up to 35 non-accredited but sophisticated subscribers per 90-day period. No general solicitation. Form D filed with the SEC and notice filing in Colorado within 15 days of first sale. Each non-accredited subscriber should sign a sophistication acknowledgment.

SEASON 3 COMMUNITY WINDOW

Three pathways available, all viable but with different operational and legal costs: *Regulation Crowdfunding* permits a community offering up to \$5M but requires a registered intermediary (funding portal or broker-dealer) and disclosure obligations; *Rule 147/147A intrastate* permits Colorado-only offerings with no dollar limit and looser disclosure but requires that all offers and sales be within Colorado; *admit community subscribers as new patron members* at the moment of subscription, which may bring the offering within the cooperative-specific framework under Colorado law and within 506(b) federally.

SEASON 4 TO 5

SECONDARY MARKET

Restricted securities held under *Rule 144* become eligible for resale after a one-year holding period for non-affiliates (six months if the issuer were a reporting company, which RegenHub will not be). The LCA's internal secondary market must respect these holding periods. Each transfer mechanism (bid/ask, buyback, reconversion, swap, direct) carries its own analysis; counsel should opine on which mechanisms qualify under Rule 144 and which require separate exemption analysis.

THROUGHOUT COLORADO

The Colorado Securities Act coordinates with federal exemptions through C.R.S. § 11-51-308(1)(p), requiring a notice of exemption and fee for offerings exempt federally under 506. The cooperative-issued security exemption at § 11-51-307 requires confirmation of applicability to a ULCAA-formed LCA; the statutory language explicitly addresses electric cooperatives, and the broader cooperative exemption requires counsel review.

The implication for the agreements layer is that the basket prospectus, the subscription agreement, and the Form D filing are not optional in Season 1, even with a small accredited member base. They are the document trail that makes the exemption defensible if questioned. The prospectus need not be elaborate, but it must be honest and complete.

§ VI

Subchapter K considerations

The Subchapter K election layered on top of the ULCAA structure has structural implications for how the agreements layer must be written.

The bylaws function as the partnership agreement for federal tax purposes. They must specify how capital accounts are maintained, how

allocations are made, and how liquidating distributions are structured. *Treas. Reg. § 1.704-1(b)(2)(iv)* defines the rules for capital account maintenance under the safe harbor. The cooperative should adopt these maintenance rules verbatim or by reference in the bylaws to claim the safe harbor for substantial economic effect.

Patronage allocations are the most complex piece. Subchapter T cooperatives use a well-developed framework for patronage dividends. Subchapter K cooperatives are structurally different: the patronage relationship is mapped onto the partnership tax structure. The likely treatment is that patronage units function as a non-cash allocation of partnership profit (or as an adjustment to capital accounts) that is later redeemable for basket shares (a partnership distribution event) or for cash (also a partnership distribution event).

Counsel and the CPA must coordinate on how to characterize the patronage flow. The candidates are: (a) patronage allocations as *preferred allocations* to patron members under the partnership agreement, satisfying substantial economic effect; (b) patronage as *guaranteed payments* under *Section 707(c)*, which is administratively simpler but may not match the cooperative's substantive intent; (c) patronage as a *special allocation* with substantial economic effect verified through capital account tracking. The choice has downstream effects on every basket and every distribution.

ANCHOR DECISION

The patronage characterization decision must precede the first basket offering. Once a basket settles with patronage allocations treated one way, changing the treatment in a later basket creates accounting and tax difficulties. The bylaws' patronage formula adoption (required within the first ninety days post-formation) should resolve this question. This is a top priority for the CPA engagement.

For the agreements layer specifically: every subscription agreement

must reference the bylaws' patronage formula and the tax characterization of the subscriber's allocation. Every K-1 must accurately reflect the allocation as characterized. The cooperative's ledger (the CIS, when operational) must compute capital accounts on a 704(b) basis and surface the data needed for K-1 preparation.

§ VII

Progressive Season 1 to 5 adoption

The cooperative does not need the full agreements library to begin operating. A minimum viable legal framework supports the first basket; subsequent seasons add complexity as operational track record and resources allow.

Season 1 · Minimum Viable Legal

2026 - 2027

EST. \$6 TO \$8K DRAFTING

The cooperative ratifies bylaws (v1.3 in draft), executes Voluntary Equity Contribution Agreements with the five founding ventures, prepares a basic Basket Prospectus, and offers basket subscriptions to accredited and sophisticated existing patron members only. Rule 506(b) federal exemption. Form D filed. Colorado notice filing. No community subscription yet. Patronage characterization adopted before the first basket settles.

INSTRUMENTS [Bylaws](#) · [Contribution Agreement template](#) · [Subscription Agreement template](#) · [Basket Prospectus template](#) · [Settlement Confirmation](#) · [Form D & Colorado Notice](#) · [K-1 process](#)

Season 2 · Patronage Maturity

2027 - 2028

EST. \$2 TO \$4K REFINEMENT

The cooperative refines the patronage distribution policy, formalizes the quarterly valuation memorandum process, and begins routine board

resolutions for basket distributions as the first basket enters partial liquidation. Subscription agreement template refined based on Season 1 experience. Still member-only offerings under 506(b).

INSTRUMENTS ADDED Patronage Distribution Resolution · Quarterly Valuation Memo · Distribution Authorization · Distribution Notice

Season 3 · Community Window

2028 - 2029

EST. \$4 TO \$6K SECURITIES COUNSEL

The cooperative opens its first community subscription window. Path selected with Yev Muchnik: *most likely* the admission-as-patron-member path combined with continued 506(b) reliance, since Reg CF intermediary costs are high for the offering size and intrastate restrictions are operationally limiting. Community Subscription Agreement template drafted; new patron member admission process formalized.

INSTRUMENTS ADDED Community Subscription Agreement · New Patron Member Admission Agreement · Refined Disclosure Package

Season 4 · Internal Secondary Market

2029 - 2030

EST. \$5 TO \$8K DRAFTING

The first basket has matured to the point that Rule 144's one-year holding period has elapsed for most subscribers. The cooperative opens its first internal bid/ask window. LCA Buyback policy is adopted. Counsel opines on the secondary market mechanisms most defensible under federal and Colorado law. Transfer recording procedures formalized.

INSTRUMENTS ADDED Bid/Ask Window Procedures · LCA Buyback Authorization · Transfer Recording Form · Rule 144 Compliance Memo

Season 5 · Full Secondary Mechanics

2030 - 2031

EST. \$6 TO \$10K DRAFTING

The cooperative adds patronage reconversion, cross-basket swap, and member-to-member direct transfer mechanisms. Each requires careful tax analysis since they are non-cash exchanges of partnership interests. CPA-led tax structuring with counsel review. Comprehensive secondary market policy adopted by the board.

The progressive logic respects two constraints: legal complexity should not run ahead of operational track record, and the cooperative's legal budget should be spent where it generates the most leverage. Season 1's \$6 to \$8K is invested in templates that get used five times over the next five seasons. Each subsequent season refines and adds rather than reinvents.

§ VIII

Resource allocation

The cooperative has approximately \$10K committed for legal drafting in the immediate formation phase. The allocation below reflects this constraint, assuming that the bylaws work has already been substantially completed under Jeff Pote's prior engagement and that some prior drafting credit is available.

INSTRUMENT	EST. COST	RATIONALE
Bylaws v1.3 finalization & ratification	~\$1.5K	Mostly complete; final Q&A round with counsel
Voluntary Contribution Agreement template	~\$2K	Reusable across all ventures and seasons
Member Subscription Agreement template		

~\$2K

Reusable across baskets; central instrument

Basket Prospectus template

~\$1K

Risk factor library reusable; venture-specific sections vary

Form D & Colorado notice filing setup

~\$0.5K

Mostly fees; minimal drafting

Patronage formula adoption & tax memo

~\$2K

CPA-led with counsel review; critical decision

Reserve for Season 1 questions

~\$1K

Inevitable refinements during first basket

Season 1 Total

~\$10K

Within budget; assumes template-based drafting

The leverage point is that Season 1 templates are reused. Each subsequent season's incremental cost is a fraction of starting from scratch. By Season 5, the cooperative has a complete agreements library composed of refinements to instruments that were first drafted in Season 1.

One cost reduction worth flagging: the Voluntary Contribution Agreement and the Member Subscription Agreement should be drafted to be venture-agnostic and basket-agnostic respectively. The variables identified in Section IV are populated per execution; the template itself remains stable. This is what makes the agreements layer integrable with the Common Information System: stable templates plus variable data plus automated population.

Open questions for counsel

The following questions arise from the research above and should be resolved with counsel before Season 1 execution.

FOR JEFF POTE • FORMATION

Does C.R.S. § 11-51-307's cooperative association exemption apply to ULCAA-formed LCAs broadly, or only to specifically-named cooperative types (electric, etc.)? If applicable, does it preempt federal registration requirements (it should not, but confirm)?

FOR JEFF POTE • BYLAWS

Do the bylaws v1.3 adopt the Treas. Reg. § 1.704-1(b)(2)(iv) capital account maintenance safe harbor explicitly? If not, should they?

FOR YEV MUCHNIK • SECURITIES

For Season 3 community subscription, which is operationally preferable for RegenHub: Reg CF, intrastate exemption, or admission-as-patron-member combined with 506(b)? The Season 7 memo should opine on this with the cooperative's actual member geography in view.

FOR YEV MUCHNIK • SECONDARY MARKET

Of the five proposed secondary market mechanisms, which qualify under Rule 144 resale and which require separate analysis? Patronage reconversion and cross-basket swap are the most novel; are there comparable cooperative precedents?

FOR THE CPA

Recommended characterization of patronage allocations under Subchapter K: preferred allocation, guaranteed payment, or special allocation with substantial economic effect? The bylaws' patronage formula adoption should reflect this choice.

FOR THE CPA

For the Voluntary Contribution Agreement: does Section 721 nonrecognition apply cleanly to a venture's contribution of its own equity to the LCA, or are there situations where the contribution would be treated as a sale? The valuation methodology used in the Contribution Valuation Memorandum will inform this.

FOR JOINT COUNSEL & CPA

For basket distributions: are these partnership distributions (Section 731) or guaranteed payments (Section 707(c)), and does the answer depend on the underlying venture's exit characterization (cash, stock, escrow)?

§ X

Integration with the engine

The Cooperative Engine HUD currently visualizes the basket lifecycle without surfacing the agreements that execute each transition. A future evolution of the engine (provisionally *v6*) would add an agreements panel surfacing, for each stage, the instruments executed or pending and the variables required to populate them.

The natural visual addition would be a status indicator on each transition (the eight transitions between stages) showing whether the legally-required instruments for that transition have been executed. *Season Call* requires nothing; *Board Ratifies* requires a Board Composition Resolution; *Window Opens* requires a published Prospectus and a filed Form D; *Subscription Closes* requires executed Subscription Agreements from all subscribers; *Settlement* requires Settlement Confirmations issued to all subscribers. The HUD could surface these requirements alongside the existing stage detail.

More ambitiously, the agreements panel could become a live execution

surface: the cooperative's ledger holds the data; the HUD generates the agreement at the point of execution; the signature flow records the instrument in the cooperative's record. This is what makes the integration with the Common Information System operationally significant. The CIS holds REA-structured data; the agreements layer is the contractual surface that turns data events into legally-enforceable records.

For now, this memo lives upstream of the engine: research informing what counsel must approve before the agreements layer can be operationalized. Once counsel has reviewed and refined the framework, the engine can be extended to display agreement status and, eventually, to generate the agreements themselves.

ISSUED TO	POTE, MUCHNIK, CPA, TREASURY
ISSUED BY	VENTURES & OPERATIONS STEWARD
DISPOSITION	RESEARCH, PRE-COUNSEL REVIEW
NEXT STEP	COUNSEL REVIEW & REFINEMENT OF SEASON 1 TEMPLATES